Exihibit 10: Summary of issues and challenges in Malaysia's higher education

Source: Desk research and focus group discussions

11 Main Gaps and Challenges

1 Ethical leadership and values

- Strengthening the emphasis on ethical values is essential for shaping responsible future leaders.
- While there are growing concerns around academic integrity and the impact of technology on ethical behavior, there are also opportunities to enhance ethical leadership through targeted initiatives and education.

2 Global competitiveness and exposure

- Challenges remain in enhancing global citizenship, with barriers to international mobility, credit transfers, and inclusivity for international students.
- Prioritising global exposure is essential to prepare students for an interconnected world.

3 Future-ready skills and employability

- The current gap in future-ready skills and practical, industry-relevant training is contributing to both unemployment, where graduates face challenges in securing jobs, and underemployment, where they are employed in roles that do not fully utilise their skills and qualifications.
- Declining enrollment in certain areas presents further challenges in aligning educational outcomes with the evolving demands of the industry. Addressing these issues requires rethinking educational approaches to better equip graduates for meaningful and suitable employment.

4 Diversity, Equity and Inclusion (DEI)

- Insufficient opportunities for *Orang Asli* and Natives of Sabah and Sarawak, Persons with Disabilities (PWD), and marginalised groups remain a significant challenge within the education system.
- At the same time, barriers persist for international students due to inclusivity and language issues. Ensuring equity across all levels of the system is essential for creating a more inclusive, diverse, and competitive educational environment.

5 Mental health and well-being

- The increasing concern for mental health and well-being is heightened by a shortage of professionals, limited services, and insufficient support systems.
- Both learners and staff experience challenges such as academic pressures, workload demands, and uncertain career pathways, contributing to stress and emotional strain that may affect their overall well-being and progression.

6 Entrepreneurial ecosystem and innovation

- The entrepreneurial ecosystem in higher education would benefit from a broader approach, focusing on developing diverse entrepreneurial skills beyond traditional business ventures.
- Additionally, there is a strong reliance on government funding, and more effective impact tracking is needed. Strengthening this ecosystem to drive innovation, particularly in Science, Technology, and Innovation (STI)-based industries, is essential for economic growth.

7 Unity, national identity, and sustainability

- HLIs must play a greater role in fostering unity, with a need for cross-ministry collaboration.
- The curriculum should better reflect the global sustainability and planetary health agenda, encouraging students to contribute to national unity while addressing critical issues such as climate change, environmental protection, and sustainable development.

8 Governance and accountability

- Governance structures in HLIs require further enhancement, particularly in addressing issues like political appointments and limited board effectiveness.
- Strengthening accountability and improving governance practices are essential to ensuring transparent and effective leadership across the education sector.

9 Financial sustainability and institutional stability

- HLIs face financial pressures, with some private institutions closing due to unsustainable funding models, impacting education quality, research output, and overall resilience.
- Establishing a sustainable financial framework is crucial for ensuring the long-term stability of HLIs, enabling them to maintain high-quality education while adapting to evolving demands.

10 Infrastructure and accessibility

- Inadequate physical and digital infrastructure limits access to education, especially in rural areas. Investing in both infrastructure and infostructure is vital to ensure broader accessibility to quality education.

11 Research, innovation, and societal impact

- The higher education system must focus on ensuring that research and innovation efforts are both responsible and impactful. This includes aligning research activities with national priorities and the planetary health agenda, benefiting society and the environment, while driving economic growth through commercialisation.
- Enhancing the connection between research, innovation, and societal needs will strengthen the role of HLIs in contributing to sustainable development and global well-being.